

July 29, 2026 11:50 PM GMT

Yageo Corp. | Asia Pacific

# MLCC Gains Momentum from Stronger Demand

## AlphaSignals Earnings Reaction

|                                                       |                                                      |                                                                      |
|-------------------------------------------------------|------------------------------------------------------|----------------------------------------------------------------------|
| <b>Strengthens our thesis</b><br>Impact to our thesis | <b>In-line</b><br>Financial results versus consensus | <b>Largely unchanged</b><br>Direction of next 12-month consensus EPS |
|-------------------------------------------------------|------------------------------------------------------|----------------------------------------------------------------------|

Source: Company data, Morgan Stanley Research

Management sounded more confident about end demand vs. three months ago, supported by the tightening MLCC cycle, higher book-to-bill ratio (2.2x now), and LTA discussions, driving increased utilization rate and more favorable pricing. Stay OW.

### Key Takeaways

- 3Q guidance: revenue up moderately q/q, GM and OpM up slightly q/q – in line with our preview (but on the conservative side).
- Book-to-bill ratio has improved from more than 1x to 2.2x.
- Customers are engaging in LTA discussions to secure long-term supply.
- Management agreed that high-cap MLCC demand is tightening MLCC supply.
- Channel inventory across the board continues to get leaner exiting 2Q.

**3Q revenue and margin guidance both in line with our preview:** Management guided for 3Q revenue to increase “moderately” q/q, which we interpret as mid- to high-single-digit growth. The improvement is expected to be driven by higher unit volumes and pricing, with further price adjustments possible if costs continue to rise. When we asked whether the guidance was conservative, management did not push back, suggesting that it represents a reasonable base case with upside potential. On profitability, management expects both gross margin and operating margin to improve “slightly” q/q, which we interpret as 0–3% sequential growth.

**Management sounds more confident about end demand vs. three months ago:** Yageo expects utilization rates across both its standard and premium segments to exceed 90% in 3Q, up from >80% in 2Q. Management said that demand has strengthened meaningfully over the past two to three months, with the overall book-to-bill ratio rising to 2.2x from “above 1x” at the 1Q26 earnings call. Customers have also begun discussing long-term agreements with Yageo to secure passive component supply, providing further evidence of sustained demand momentum. In addition, management shares our view that [AI-related demand will tighten MLCC supply](#) and believes Yageo is particularly well positioned to benefit from this trend.

**Stay OW with price target at NT\$1,465.** This implies ~31x CY28e P/E; however, PEG is only 0.85x. We favor Yageo for its scale, broad product portfolio across all passive components, and leverage to an improving industry cycle.

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### Yageo Corp. (2327.TW, 2327 TT)

Greater China Technology Hardware | Taiwan

|                                 |                     |
|---------------------------------|---------------------|
| <b>Stock Rating</b>             | <b>Overweight</b>   |
| <b>Industry View</b>            | <b>In-Line</b>      |
| Price target                    | NT\$1,465.00        |
| Up/downside to price target (%) | 189                 |
| Shr price, close (Jul 29, 2026) | NT\$507.00          |
| 52-Week Range                   | NT\$1,220.00-129.50 |
| Sh out, dil, curr (mn)          | 1,997               |
| Mkt cap, curr (mn)              | NT\$1,012,410       |
| EV, curr (mn)                   | NT\$1,029,149       |
| Avg daily trading value (mn)    | NT\$16,409          |

| Fiscal Year Ending           | 12/25   | 12/26e  | 12/27e  | 12/28e  |
|------------------------------|---------|---------|---------|---------|
| EPS (NT\$)**                 | 11.51   | 20.21   | 34.24   | 46.86   |
| Prior EPS (NT\$)**           | -       | 20.11   | 34.23   | 46.87   |
| EPS (NT\$)§                  | 11.61   | 19.16   | 30.44   | 43.75   |
| Revenue, net (NT\$ mn)       | 132,930 | 182,769 | 251,501 | 306,659 |
| EBITDA (NT\$ mn)             | 39,635  | 60,058  | 97,086  | 130,091 |
| ModelWare net inc (NT \$ mn) | 23,634  | 41,505  | 70,311  | 96,236  |
| P/E                          | 20.1    | 25.1    | 14.8    | 10.8    |
| P/BV                         | 2.7     | 4.8     | 4.0     | 3.3     |
| RNOA (%)                     | 12.0    | 20.7    | 36.9    | 52.0    |
| ROE (%)                      | 14.5    | 23.9    | 32.3    | 36.6    |
| EV/EBITDA                    | 12.4    | 16.5    | 9.7     | 6.8     |
| Div yld (%)                  | 2.2     | 1.2     | 2.4     | 4.1     |
| FCF yld ratio (%)**          | 6.6     | 4.6     | 7.2     | 9.3     |
| Leverage (EOP) (%)           | 9.6     | (15.7)  | (31.6)  | (43.4)  |

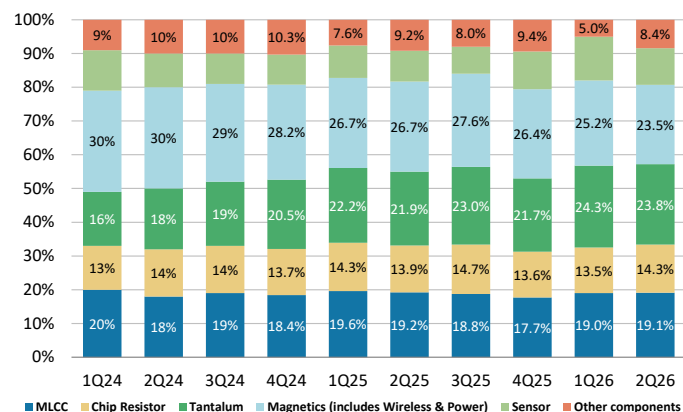
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
§ = Consensus data is provided by Refinitiv Estimates  
e = Morgan Stanley Research estimates

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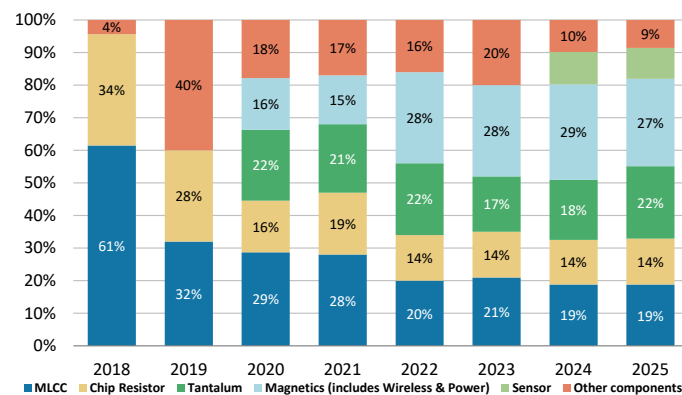
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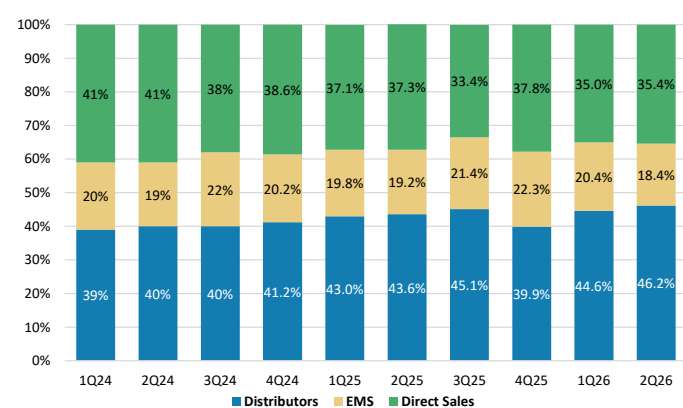
# Charts

**Exhibit 1: Quarterly Sales, by Product, 1Q24-2Q26**


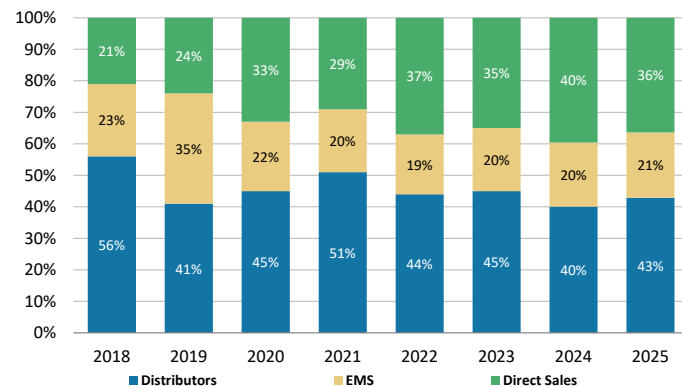
Source: Company data, Morgan Stanley Research

**Exhibit 2: Annual Sales, by Product, 2018-25**


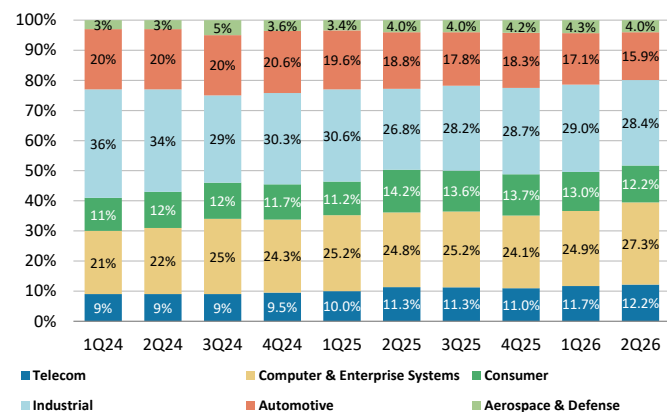
Source: Company data, Morgan Stanley Research

**Exhibit 3: Quarterly Sales, by Channel, 1Q24-2Q26**


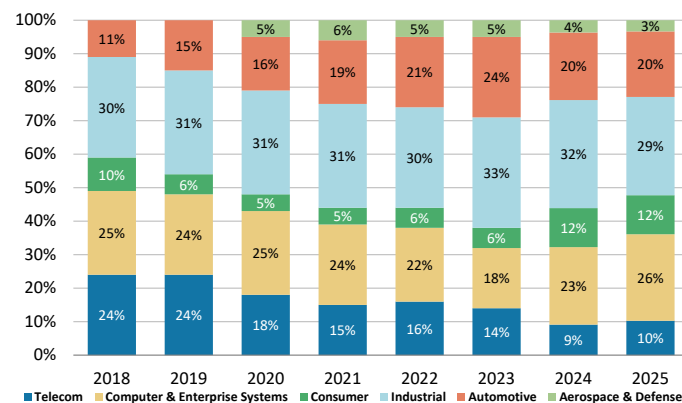
Source: Company data, Morgan Stanley Research

**Exhibit 4: Annual Sales, by Channel, 2018-25**


Source: Company data, Morgan Stanley Research

**Exhibit 5: Quarterly Sales, by Segment, 1Q24-2Q26**


Source: Company data, Morgan Stanley Research

**Exhibit 6: Annual Sales, by Segment, 2018-25**


Source: Company data, Morgan Stanley Research

# 2Q26 Results Review

## 2Q GM and OpM marginally lower than our estimates and the Street...

- Revenue was NT\$44.5bn (+16% q/q, +36% y/y).
- GM was 38.5% (+40bps q/q, +290bps y/y), which was 30bps below our estimate and 60bps below the Street. Management attributed the 2Q GM improvement to more favorable pricing environment, product mix, and higher utilization rates, but partially offset by higher input cost and demand for standard products.
- OpM was 26.4% (+120bps q/q, +490bps y/y), 40bps below our estimate and 20bps below the Street.

## ...but taxes were a little bit lower than we and the Street expected...

...so net income was 3% above our estimate and the Street – at NT\$9.4bn (+18% q/q, +88% y/y) for EPS of NT\$4.59.

### Exhibit 7: 2Q26 Results

| NT\$mnn                 | Results       |            |            | MS Est.       | Variance    | Cons          | Variance    |
|-------------------------|---------------|------------|------------|---------------|-------------|---------------|-------------|
|                         | Actual        | QoQ        | YoY        |               |             |               |             |
| <b>Net sales</b>        | <b>44,456</b> | <b>16%</b> | <b>36%</b> | <b>44,165</b> | <b>1%</b>   | <b>43,058</b> | <b>3%</b>   |
| COGS                    | -27,340       | 16%        | 29%        | -27,017       | 1%          | -26,206       | 4%          |
| <b>Gross profit</b>     | <b>17,116</b> | <b>18%</b> | <b>47%</b> | <b>17,148</b> | <b>0%</b>   | <b>16,853</b> | <b>2%</b>   |
| Operating expenses      | -5,368        | 9%         | 16%        | -5,290        | 1%          | -5,376        | 0%          |
| <b>Operating income</b> | <b>11,749</b> | <b>22%</b> | <b>67%</b> | <b>11,858</b> | <b>-1%</b>  | <b>11,476</b> | <b>2%</b>   |
| Non-operating income    | 474           | -33%       | NM         | 700           | -32%        | 537           | -12%        |
| <b>Pre-tax income</b>   | <b>12,222</b> | <b>18%</b> | <b>74%</b> | <b>12,558</b> | <b>-3%</b>  | <b>12,013</b> | <b>2%</b>   |
| Income tax              | -2,767        | 21%        | 37%        | -3,391        | -18%        | -2,837        | -2%         |
| <b>Net income</b>       | <b>9,418</b>  | <b>18%</b> | <b>88%</b> | <b>9,131</b>  | <b>3%</b>   | <b>9,176</b>  | <b>3%</b>   |
| <b>EPS (NT\$)</b>       | <b>4.59</b>   | <b>18%</b> | <b>88%</b> | <b>4.45</b>   | <b>3%</b>   | <b>4.47</b>   | <b>3%</b>   |
| <b>Margins (%)</b>      |               | <b>ppt</b> | <b>ppt</b> |               | <b>ppt</b>  |               | <b>ppt</b>  |
| Gross margin            | 38.5%         | 0.4        | 2.9        | 38.8%         | -0.3        | 39.1%         | -0.6        |
| <b>Operating margin</b> | <b>26.4%</b>  | <b>1.2</b> | <b>4.9</b> | <b>26.8%</b>  | <b>-0.4</b> | <b>26.7%</b>  | <b>-0.2</b> |
| Pre-tax margin          | 27.5%         | 0.4        | 6.0        | 28.4%         | -0.9        | 27.9%         | -0.4        |
| Net margin              | 21.2%         | 0.2        | 5.9        | 20.7%         | 0.5         | 21.3%         | -0.1        |

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

# Estimate Changes

We update our model to reflect the 2Q26 results and the latest guidance from management following the earnings call. Our 2026-28 EPS estimates are virtually unchanged for CY26-28.

**Exhibit 8:** Estimate Changes

| NT\$ mn              | 2026e Earnings Estimates |                |            | 2027e Earnings Estimates |                |            | 2028e Earnings Estimates |                |            |
|----------------------|--------------------------|----------------|------------|--------------------------|----------------|------------|--------------------------|----------------|------------|
|                      | New                      | Old            | Variance   | New                      | Old            | Variance   | New                      | Old            | Variance   |
| <b>Net sales</b>     | <b>182,769</b>           | <b>180,835</b> | <b>1%</b>  | <b>251,501</b>           | <b>249,369</b> | <b>1%</b>  | <b>306,659</b>           | <b>305,345</b> | <b>0%</b>  |
| COGS                 | -110,474                 | -108,778       | 2%         | -138,732                 | -137,335       | 1%         | -157,970                 | -157,706       | 0%         |
| <b>Gross profit</b>  | <b>72,295</b>            | <b>72,058</b>  | <b>0%</b>  | <b>112,769</b>           | <b>112,034</b> | <b>1%</b>  | <b>148,688</b>           | <b>147,639</b> | <b>1%</b>  |
| Operating expenses   | -21,706                  | -21,255        | 2%         | -24,845                  | -24,136        | 3%         | -27,463                  | -26,406        | 4%         |
| Operating income     | 50,589                   | 50,803         | 0%         | 87,924                   | 87,898         | 0%         | 121,225                  | 121,233        | 0%         |
| Non-operating income | 2,722                    | 2,949          | -8%        | 3,425                    | 3,425          | 0%         | 3,844                    | 3,844          | 0%         |
| Pre-tax income       | 53,311                   | 53,751         | -1%        | 91,349                   | 91,323         | 0%         | 125,069                  | 125,077        | 0%         |
| Income tax           | -11,660                  | -12,305        | -5%        | -20,891                  | -20,887        | 0%         | -28,687                  | -28,688        | 0%         |
| <b>Net income</b>    | <b>41,505</b>            | <b>41,299</b>  | <b>0%</b>  | <b>70,311</b>            | <b>70,290</b>  | <b>0%</b>  | <b>96,236</b>            | <b>96,242</b>  | <b>0%</b>  |
| <b>EPS (NT\$)</b>    | <b>20.21</b>             | <b>20.11</b>   | <b>0%</b>  | <b>34.24</b>             | <b>34.23</b>   | <b>0%</b>  | <b>46.86</b>             | <b>46.87</b>   | <b>0%</b>  |
| <b>Margins (%)</b>   |                          |                | <b>ppt</b> |                          |                | <b>ppt</b> |                          |                | <b>ppt</b> |
| Gross margin         | 39.6%                    | 39.8%          | -0.3       | 44.8%                    | 39.5%          | 5.3        | 48.5%                    | 48.4%          | 0.1        |
| Operating margin     | 27.7%                    | 28.1%          | -0.4       | 35.0%                    | 27.0%          | 8.0        | 39.5%                    | 39.7%          | -0.2       |
| Pre-tax margin       | 29.2%                    | 29.7%          | -0.6       | 36.3%                    | 29.0%          | 7.4        | 40.8%                    | 41.0%          | -0.2       |
| Net margin           | 22.7%                    | 22.8%          | -0.1       | 28.0%                    | 22.2%          | 5.8        | 31.4%                    | 31.5%          | -0.1       |

Source: Morgan Stanley Research (e) estimates.

**Exhibit 9:** Morgan Stanley vs. Consensus

| Yageo      | MSe     |         |         | Consensus |         |         | Variance |      |      |
|------------|---------|---------|---------|-----------|---------|---------|----------|------|------|
|            | 2026    | 2027    | 2028    | 2026      | 2027    | 2028    | 2026     | 2027 | 2028 |
| Revenue    | 182,769 | 251,501 | 306,659 | 179,544   | 237,982 | 292,942 | 2%       | 6%   | 5%   |
| GM         | 39.6%   | 44.8%   | 48.5%   | 39.6%     | 44.2%   | 48.0%   | -0.1%    | 0.6% | 0.4% |
| OpM        | 27.7%   | 35.0%   | 39.5%   | 27.3%     | 33.0%   | 37.0%   | 0.4%     | 1.9% | 2.5% |
| Net income | 41,505  | 70,311  | 96,236  | 39,608    | 62,757  | 86,433  | 5%       | 12%  | 11%  |
| EPS        | 20.21   | 34.24   | 46.86   | 19.29     | 30.56   | 42.09   | 5%       | 12%  | 11%  |

Source: Visible Alpha, Morgan Stanley Research estimates.

# Price Target Discussion and Valuation Methodology

**We keep our 12-month price target at NT\$1,465:** Our price target is our base case value, derived from our residual income valuation model. Similar to our analysis of other tech hardware companies within our coverage, we think this methodology provides the most accurate value of the firm by taking into account the cost of equity.

Our key assumptions are all unchanged, including:

- Cost of equity of 7.8%:
  - Risk-free rate of 1.0% (10-year Taiwanese government bond yield);
  - Equity risk premium of 6.8%;
  - Beta of 1.1;
- Medium-term growth rate of 16%;
- Terminal growth rate of 3%.

Our price target implies 43x 2027e P/E and 31x 2028e P/E. These are above its five-year historical range of 8x to 18x, which we view as justified considering its longer-term transformation story to become a global total solutions provider, moving from passive into active components. In addition, compared to global passive component peers, we believe Yageo stock remains undervalued with higher ROE and margins but lower P/E vs. Japanese peers (which trade on an average at 30x+ P/E).

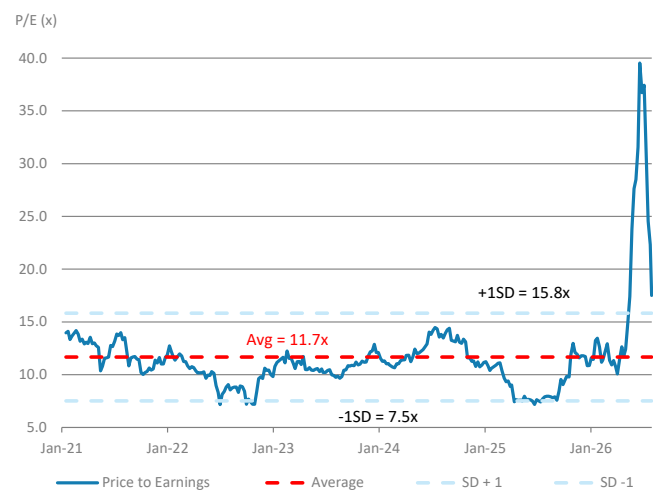
**Our bull and bear case scenario values are also unchanged at NT\$2,075 and NT\$685, respectively.**

**Exhibit 10:** Residual Income (RI) Model

|                             | 2026E            | 2027E          | 2028E          | 2029E          | 2030E          | 2031E          | 2032E          | 2033E          | 2034E          | 2035E          | 2036E          |
|-----------------------------|------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| <b>Total Equity</b>         | <b>217,937</b>   | <b>262,598</b> | <b>315,863</b> | <b>363,288</b> | <b>418,301</b> | <b>482,116</b> | <b>556,141</b> | <b>642,011</b> | <b>741,619</b> | <b>857,165</b> | <b>955,841</b> |
| <b>Net Profit</b>           | <b>41,505</b>    | <b>70,311</b>  | <b>96,236</b>  | <b>111,633</b> | <b>129,495</b> | <b>150,214</b> | <b>174,248</b> | <b>202,128</b> | <b>234,468</b> | <b>271,983</b> | <b>280,143</b> |
| <b>Return on Equity</b>     | <b>21.2%</b>     | <b>29.3%</b>   | <b>33.3%</b>   | <b>32.9%</b>   | <b>33.1%</b>   | <b>33.4%</b>   | <b>33.6%</b>   | <b>33.7%</b>   | <b>33.9%</b>   | <b>34.0%</b>   | <b>30.9%</b>   |
| Beta                        | 1.0              | 1.0            | 1.0            | 1.0            | 1.0            | 1.0            | 1.0            | 1.0            | 1.0            | 1.0            | 1.0            |
| Equity Risk Premium (Rm-Rf) | 6.8%             | 6.8%           | 6.8%           | 6.8%           | 6.8%           | 6.8%           | 6.8%           | 6.8%           | 6.8%           | 6.8%           | 6.8%           |
| Risk Free Rate (Rf)         | 1.0%             | 1.0%           | 1.0%           | 1.0%           | 1.0%           | 1.0%           | 1.0%           | 1.0%           | 1.0%           | 1.0%           | 1.0%           |
| Cost of Equity              | 7.8%             | 7.8%           | 7.8%           | 7.8%           | 7.8%           | 7.8%           | 7.8%           | 7.8%           | 7.8%           | 7.8%           | 7.8%           |
| <b>Residual Income</b>      | <b>23,349</b>    | <b>46,864</b>  | <b>66,997</b>  | <b>79,327</b>  | <b>92,189</b>  | <b>107,108</b> | <b>124,412</b> | <b>144,485</b> | <b>167,769</b> | <b>194,777</b> | <b>198,379</b> |
| <b>Spread</b>               | <b>13.4%</b>     | <b>21.5%</b>   | <b>25.5%</b>   | <b>25.1%</b>   | <b>25.4%</b>   | <b>25.6%</b>   | <b>25.8%</b>   | <b>26.0%</b>   | <b>26.1%</b>   | <b>26.3%</b>   | <b>23.1%</b>   |
| Beginning Equity Capital    | 217,937          |                |                |                |                |                |                |                |                |                |                |
| PV of Forecast Period       | 757,371          |                |                |                |                |                |                |                |                |                |                |
| PV of Continuing Value      | 2,033,064        |                |                |                |                |                |                |                |                |                |                |
| <b>Equity Value</b>         | <b>3,008,372</b> |                |                |                |                |                |                |                |                |                |                |
| No. of Shares               | 2,054            |                |                |                |                |                |                |                |                |                |                |
| <b>Projected Price</b>      | <b>1,465.0</b>   |                |                |                |                |                |                |                |                |                |                |
| <b>Implied 2027e PE</b>     | <b>43x</b>       |                |                |                |                |                |                |                |                |                |                |

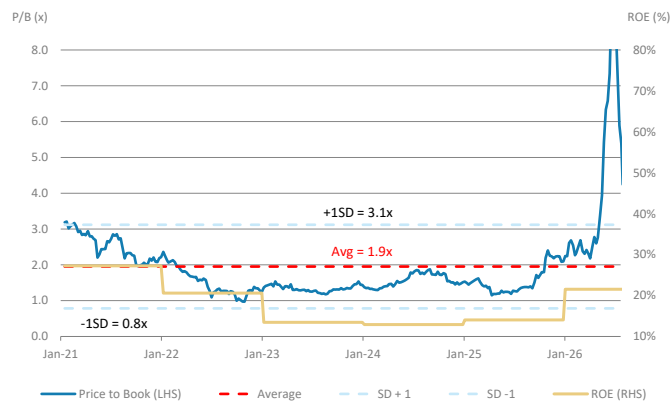
Source: Morgan Stanley Research (E) estimates.

Exhibit 11: Yageo P/E



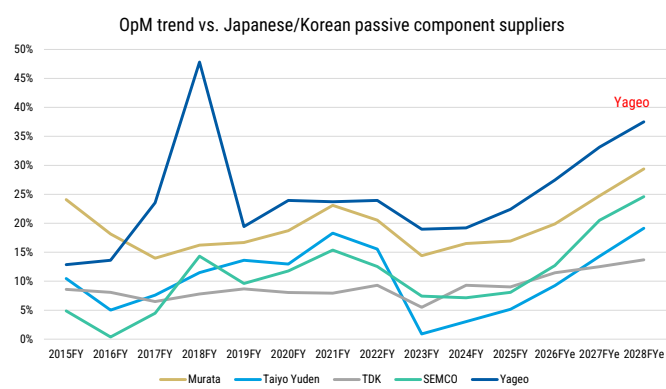
Source: TEJ, Morgan Stanley Research.

Exhibit 12: Yageo P/B



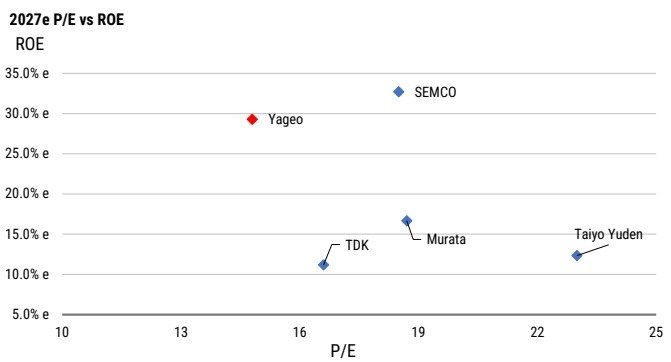
Source: TEJ, Morgan Stanley Research.

Exhibit 13: MLCC peers operating margins



Source: Visible Alpha.

Exhibit 14: 2027e P/E vs. ROE



Source: Morgan Stanley Research estimates.

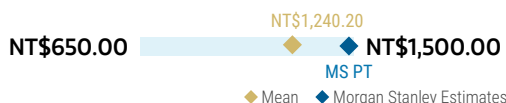
## Risk Reward – Yageo Corp. (2327.TW)

Demand looks stronger and price increases appear likely - stay OW

### PRICE TARGET NT\$1,465.00

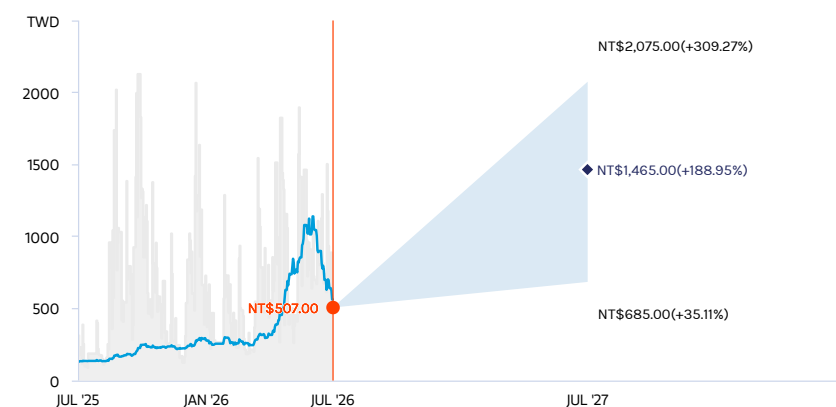
Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.8% (risk-free rate 1%, equity risk premium 6.8% and beta of 1.1), medium-term growth rate 16%, terminal growth rate 3%.

#### Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

### RISK REWARD CHART



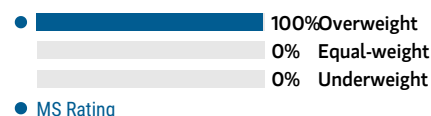
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

### OVERWEIGHT THESIS

- There is fear that leading Japanese and Korean MLCC suppliers are shifting more capacity to cater to the high end, resulting in undersupply for the midrange/low end.
- The same narrative that drove the 2018 cycle is now back in play.
- Utilization rates are increasing, so suppliers are expecting price hikes for the midrange/low end. Distributors and ODMs are both building inventory.
- AI demand is growing and tantalum capacitor pricing may show further price increases in 2H.
- All of this should help support a re-rating in the stock.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

Electric Vehicles: Positive  
Self-help: Positive  
Special Situation: Positive

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

NT\$2,075.00

44x 2028e EPS

**Demand continues to grow faster than expected in 2027-28:** 1) Demand improves significantly, driving pricing power for Yageo in premium and standard products alike. 2) Yageo makes meaningful progress into AI, driving significant share gains. 3) Yageo takes on more acquisition initiatives to further widen its product portfolio. 4) Severe undersupply leads to continued price hikes for an extended period of time, which helps expand Yageo's margins in 2027-28.

#### BASE CASE

NT\$1,465.00

31x 2028e EPS

**Demand remains strong into 2027-28:** 1) Utilization remains high for premium products. 2) Utilization for standard products stabilizes at 70%+ with resilient consumer tech demand. 3) Transformation and synergies are ongoing with continued active initiatives. 4) Yageo continues to drive expansion into the AI realm and slowly gains market share. 5) High utilization rates and inflationary raw material costs result in continued price hikes.

#### BEAR CASE

NT\$685.00

15x 2028e EPS

**Earnings erode as macro conditions weaken and demand falls again in 2027-28:** 1) Non-AI demand weakens from 2H26 onward, despite AI demand remaining strong. 2) Pricing power shifts to end customers with heightened competition among peers. 3) Acquisitions do not bear fruit, resulting in layoffs and leading to cost burdens. 4) Automotive and industrial end demand does not recover, hampering Yageo's premium business. 5) Yageo does not make any material advancements into AI.

## Risk Reward – Yageo Corp. (2327.TW)

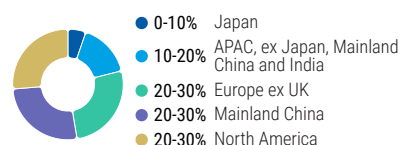
### KEY EARNINGS INPUTS

| Drivers            | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|--------------------|----------|-----------|-----------|-----------|
| MLCC ASP y/y (%)   | 0.6      | 24.3      | 65.3      | 14.9      |
| MLCC GM (%)        | 31.7     | 37.5      | 46.4      | 50.5      |
| r-chip ASP y/y (%) | 0.8      | 11.8      | 47.0      | 27.3      |
| r-chip GM (%)      | 43.4     | 45.8      | 55.4      | 60.4      |

### INVESTMENT DRIVERS

- Transformation into global total solutions service provider
- Premium/standard sales mix
- Utilization rates and capacity
- Inventory and pricing

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

**2/5**  
**MOST**

**3 Month**  
**Horizon**

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Faster-than-expected revenue/profit recognition from stronger AI server/notebook demand
- Further price hikes led by stronger pricing power arising from better demand and/or tighter supply

#### RISKS TO DOWNSIDE

- A sudden bursting of demand for AI
- Inventory risk
- Consumer electronics demand risk

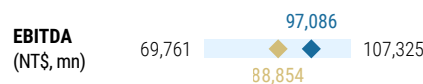
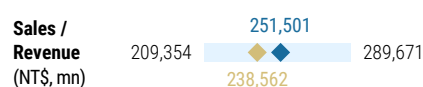
### OWNERSHIP POSITIONING

Inst. Owners, % Active 61.9%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research



# Financials

**Exhibit 15: Quarterly Earnings Estimates**

|                             | 1Q25          | 2Q25          | 3Q25          | 4Q25          | 1Q26          | 2Q26P         | 3Q26E         | 4Q26E         | 2025           | 2026E          | 2027E          | 2028E          |
|-----------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|
| <b>Net sales</b>            | <b>31,104</b> | <b>32,771</b> | <b>33,087</b> | <b>35,968</b> | <b>38,166</b> | <b>44,456</b> | <b>48,552</b> | <b>51,595</b> | <b>132,930</b> | <b>182,769</b> | <b>251,501</b> | <b>306,659</b> |
| COGS                        | (20,018)      | (21,119)      | (21,112)      | (22,551)      | (23,624)      | (27,340)      | (29,192)      | (30,318)      | (84,800)       | (110,474)      | (138,732)      | (157,970)      |
| <b>Gross profit</b>         | <b>11,086</b> | <b>11,652</b> | <b>11,974</b> | <b>13,417</b> | <b>14,542</b> | <b>17,116</b> | <b>19,360</b> | <b>21,277</b> | <b>48,130</b>  | <b>72,295</b>  | <b>112,769</b> | <b>148,688</b> |
| Operating expenses          | (4,623)       | (4,609)       | (4,412)       | (4,685)       | (4,929)       | (5,368)       | (5,638)       | (5,772)       | (18,329)       | (21,706)       | (24,845)       | (27,463)       |
| SG&A                        | (3,758)       | (3,774)       | (3,578)       | (3,800)       | (4,035)       | (4,340)       | (4,558)       | (4,681)       | (14,910)       | (17,614)       | (20,262)       | (22,526)       |
| R&D                         | (865)         | (834)         | (834)         | (886)         | (894)         | (1,028)       | (1,079)       | (1,090)       | (3,419)        | (4,092)        | (4,583)        | (4,937)        |
| <b>Operating income</b>     | <b>6,463</b>  | <b>7,044</b>  | <b>7,562</b>  | <b>8,732</b>  | <b>9,613</b>  | <b>11,749</b> | <b>13,722</b> | <b>15,505</b> | <b>29,801</b>  | <b>50,589</b>  | <b>87,924</b>  | <b>121,225</b> |
| <b>Non-operating income</b> | <b>710</b>    | <b>(15)</b>   | <b>650</b>    | <b>(26)</b>   | <b>712</b>    | <b>474</b>    | <b>749</b>    | <b>788</b>    | <b>1,319</b>   | <b>2,722</b>   | <b>3,425</b>   | <b>3,844</b>   |
| Interest income             | 533           | 443           | 379           | 216           | 303           | 337           | 369           | 400           | 1,571          | 1,409          | 1,878          | 2,260          |
| Investment income           | 117           | 24            | 144           | 195           | 181           | 163           | 179           | 188           | 480            | 711            | 747            | 784            |
| Disposal of investment      | 100           | 0             | 0             | 0             | 7             | 0             | 0             | 0             | 100            | 7              | 0              | 0              |
| Exchange gain               | (148)         | 194           | (110)         | (677)         | (139)         | 0             | 0             | 0             | (742)          | (139)          | 0              | 0              |
| Other                       | 108           | (676)         | 237           | 241           | 359           | (26)          | 200           | 200           | (90)           | 733            | 800            | 800            |
| <b>Pre-tax income</b>       | <b>7,173</b>  | <b>7,028</b>  | <b>8,212</b>  | <b>8,706</b>  | <b>10,325</b> | <b>12,222</b> | <b>14,471</b> | <b>16,293</b> | <b>31,120</b>  | <b>53,311</b>  | <b>91,349</b>  | <b>125,069</b> |
| Income tax                  | (1,610)       | (2,016)       | (1,817)       | (1,900)       | (2,287)       | (2,767)       | (3,184)       | (3,422)       | (7,343)        | (11,660)       | (20,891)       | (28,687)       |
| Minority interest           | 33            | 14            | 39            | 56            | 37            | 37            | 37            | 37            | 143            | 147            | 147            | 147            |
| <b>Net income</b>           | <b>5,530</b>  | <b>4,998</b>  | <b>6,356</b>  | <b>6,751</b>  | <b>8,001</b>  | <b>9,418</b>  | <b>11,251</b> | <b>12,835</b> | <b>23,634</b>  | <b>41,505</b>  | <b>70,311</b>  | <b>96,236</b>  |
| Adj.wtd.avg.shrs (mn)       | 2,053         | 2,053         | 2,054         | 2,053         | 2,054         | 2,054         | 2,054         | 2,054         | 2,053          | 2,054          | 2,054          | 2,054          |
| <b>EPS</b>                  | <b>2.69</b>   | <b>2.43</b>   | <b>3.10</b>   | <b>3.29</b>   | <b>3.90</b>   | <b>4.59</b>   | <b>5.48</b>   | <b>6.25</b>   | <b>11.51</b>   | <b>20.21</b>   | <b>34.24</b>   | <b>46.86</b>   |
| Fully Diluted shares (mn)   | 2,459         | 2,456         | 2,055         | 2,053         | 2,054         | 2,054         | 2,054         | 2,054         | 2,053          | 2,054          | 2,054          | 2,054          |
| <b>Diluted EPS (NT\$)</b>   | <b>2.25</b>   | <b>2.03</b>   | <b>3.09</b>   | <b>3.29</b>   | <b>3.90</b>   | <b>4.59</b>   | <b>5.48</b>   | <b>6.25</b>   | <b>11.51</b>   | <b>20.21</b>   | <b>34.24</b>   | <b>46.86</b>   |
| <b>Margins (%)</b>          |               |               |               |               |               |               |               |               |                |                |                |                |
| Gross Margin                | 35.6          | 35.6          | 36.2          | 37.3          | 38.1          | 38.5          | 39.9          | 41.2          | 36.2           | 39.6           | 44.8           | 48.5           |
| Operating Margin            | 20.8          | 21.5          | 22.9          | 24.3          | 25.2          | 26.4          | 28.3          | 30.1          | 22.4           | 27.7           | 35.0           | 39.5           |
| Pretax Margin               | 23.1          | 21.4          | 24.8          | 24.2          | 27.1          | 27.5          | 29.8          | 31.6          | 23.4           | 29.2           | 36.3           | 40.8           |
| Net Margin                  | 17.8          | 15.3          | 19.2          | 18.8          | 21.0          | 21.2          | 23.2          | 24.9          | 17.8           | 22.7           | 28.0           | 31.4           |
| <b>QoQ Growth (%)</b>       |               |               |               |               |               |               |               |               |                |                |                |                |
| Sales                       | 4             | 5             | 1             | 9             | 6             | 16            | 9             | 6             |                |                |                |                |
| Gross Profit                | 11            | 5             | 3             | 12            | 8             | 18            | 13            | 10            |                |                |                |                |
| Operating Profit            | 20            | 9             | 7             | 15            | 10            | 22            | 17            | 13            |                |                |                |                |
| Pretax Profit               | 15            | -2            | 17            | 6             | 19            | 18            | 18            | 13            |                |                |                |                |
| Net Profit                  | 49            | -10           | 27            | 6             | 19            | 18            | 19            | 14            |                |                |                |                |
| <b>YoY Growth (%)</b>       |               |               |               |               |               |               |               |               |                |                |                |                |
| Sales                       | 9             | 4             | 4             | 20            | 23            | 36            | 47            | 43            | 9              | 37             | 38             | 22             |
| Gross Profit                | 15            | 6             | 7             | 35            | 31            | 47            | 62            | 59            | 15             | 50             | 56             | 32             |
| Operating Profit            | 31            | 9             | 14            | 63            | 49            | 67            | 81            | 78            | 27             | 70             | 74             | 38             |
| Pretax Profit               | 18            | -5            | 15            | 39            | 44            | 74            | 76            | 87            | 16             | 71             | 71             | 37             |
| Net Profit                  | 21            | -8            | 13            | 82            | 45            | 88            | 77            | 90            | 22             | 76             | 69             | 37             |

Source: Company data, Morgan Stanley Research (E) estimates.

## Exhibit 16: Consolidated Financial Summary

| Consolidated Income Statement |                |                |                |                | Consolidated Cash Flow Statement |                |                |                 |                 |
|-------------------------------|----------------|----------------|----------------|----------------|----------------------------------|----------------|----------------|-----------------|-----------------|
| NT\$m (Year End Dec 31)       | 2025           | 2026E          | 2027E          | 2028E          | NT\$m (Year End Dec 31)          | 2025           | 2026E          | 2027E           | 2028E           |
| <b>Net sales</b>              | <b>132,930</b> | <b>182,769</b> | <b>251,501</b> | <b>306,659</b> | <b>Operating Cashflow</b>        | <b>30,863</b>  | <b>46,381</b>  | <b>69,049</b>   | <b>93,404</b>   |
| COGS                          | (84,800)       | (110,474)      | (138,732)      | (157,970)      | Net Profits                      | 23,634         | 41,505         | 70,311          | 96,236          |
| <b>Gross profit</b>           | <b>48,130</b>  | <b>72,295</b>  | <b>112,769</b> | <b>148,688</b> | Depreciation & Amort.            | 9,834          | 9,469          | 9,163           | 8,866           |
| Operating expenses            | (18,329)       | (21,706)       | (24,845)       | (27,463)       | Investment losses/(income)       | (581)          | (711)          | (747)           | (784)           |
| <b>Operating income</b>       | <b>29,801</b>  | <b>50,589</b>  | <b>87,924</b>  | <b>121,225</b> | Working capital change           | (12,663)       | (946)          | (5,640)         | (7,672)         |
| <b>Non-operating income</b>   | <b>1,319</b>   | <b>2,722</b>   | <b>3,425</b>   | <b>3,844</b>   | Other adjustments                | 10,944         | (2,929)        | (4,039)         | (3,241)         |
| Interest income               | 1,571          | 1,409          | 1,878          | 2,260          | <b>Investing Cashflow</b>        | <b>(3,725)</b> | <b>(7,356)</b> | <b>(7,114)</b>  | <b>(6,920)</b>  |
| Investment income             | 480            | 711            | 747            | 784            | Capex                            | (6,056)        | (8,000)        | (8,000)         | (8,000)         |
| Disposal of investment        | 100            | 7              | -              | -              | Change of L/T investment         | (4,146)        | 0              | 0               | 0               |
| Exchange gain                 | (742)          | (139)          | -              | -              | Change of S/T investment         | 817            | 0              | 0               | 0               |
| Other                         | (90)           | 733            | 800            | 800            | Other adjustments                | 5,191          | 0              | 0               | 0               |
| <b>Pre-tax income</b>         | <b>31,120</b>  | <b>53,311</b>  | <b>91,349</b>  | <b>125,069</b> | <b>Financing Cashflow</b>        | <b>(3,135)</b> | <b>10,685</b>  | <b>(13,946)</b> | <b>(33,591)</b> |
| Income tax                    | (7,343)        | (11,660)       | (20,891)       | (28,687)       | Increase in L/T debt             | (543)          | (1,000)        | (1,000)         | (1,000)         |
| Minority interests            | 143            | 147            | 147            | 147            | Increase in S/T debt             | 7,613          | 0              | 0               | 0               |
| <b>Net income</b>             | <b>23,634</b>  | <b>41,505</b>  | <b>70,311</b>  | <b>96,236</b>  | Issuance of stock                | 0              | 15,337         | 0               | 0               |
| Adj. wtd. Avg. shrs (m)       | 2,053          | 2,054          | 2,054          | 2,054          | Cash dividends                   | (10,265)       | (12,321)       | (24,903)        | (42,187)        |
| <b>Reported EPS (NT\$)</b>    | <b>11.51</b>   | <b>20.21</b>   | <b>34.24</b>   | <b>46.86</b>   | Other adjustments                | 61             | 8,670          | 11,957          | 9,595           |
| Diluted shrs (m)              | 2,053          | 2,054          | 2,054          | 2,054          | FX adjustment                    | (3,647)        | 139            | 0               | 0               |
| <b>Diluted EPS (NT\$)</b>     | <b>11.51</b>   | <b>20.21</b>   | <b>34.24</b>   | <b>46.86</b>   | <b>Net change in cash</b>        | <b>20,356</b>  | <b>49,849</b>  | <b>47,988</b>   | <b>52,893</b>   |

| Consolidated Balance Sheet        |                |                |                |                | Consolidated Financial Ratios |      |       |       |       |
|-----------------------------------|----------------|----------------|----------------|----------------|-------------------------------|------|-------|-------|-------|
| NT\$m (Year End Dec 31)           | 2025           | 2026E          | 2027E          | 2028E          |                               | 2025 | 2026E | 2027E | 2028E |
| <b>Cash</b>                       | <b>81,473</b>  | <b>131,323</b> | <b>179,311</b> | <b>232,204</b> | <b>Margins (%)</b>            |      |       |       |       |
| Mkt securities                    | 16,634         | 16,634         | 16,634         | 16,634         | Gross margin                  | 36.2 | 39.6  | 44.8  | 48.5  |
| AR/NR                             | 27,792         | 34,112         | 46,526         | 59,743         | Operating margin              | 22.4 | 27.7  | 35.0  | 39.5  |
| Inventory                         | 31,636         | 41,363         | 51,211         | 56,983         | Pretax margin                 | 23.4 | 29.2  | 36.3  | 40.8  |
| Others                            | 7,811          | 10,739         | 14,778         | 18,019         | Net margin                    | 17.8 | 22.7  | 28.0  | 31.4  |
| <b>Current Assets</b>             | <b>165,346</b> | <b>234,172</b> | <b>308,461</b> | <b>383,583</b> | <b>YoY growth (%)</b>         |      |       |       |       |
| Long-term investments             | 45,572         | 45,572         | 45,572         | 45,572         | Sales                         | 9.3  | 37.5  | 37.6  | 21.9  |
| Fixed assets                      | 65,305         | 63,192         | 61,143         | 59,197         | Operating profits             | 27.4 | 69.8  | 73.8  | 37.9  |
| Other assets                      | 114,566        | 114,566        | 114,566        | 114,566        | Pretax profits                | 15.8 | 71.3  | 71.3  | 36.9  |
| <b>Total Assets</b>               | <b>390,789</b> | <b>457,502</b> | <b>529,743</b> | <b>602,919</b> | Net profits                   | 22.1 | 75.6  | 69.4  | 36.9  |
| S/T borrowings                    | 86,196         | 86,196         | 86,196         | 86,196         | <b>Others</b>                 |      |       |       |       |
| AP/NP                             | 18,031         | 23,491         | 29,499         | 33,590         | Cash dividend payout (%)      | 52%  | 60%   | 60%   | 60%   |
| Other ST liabilities              | 31,852         | 41,495         | 52,109         | 59,335         | Cash div (NT\$)               | 6.00 | 12.13 | 20.54 | 28.12 |
| <b>Total Current Liabilities</b>  | <b>136,079</b> | <b>151,182</b> | <b>167,804</b> | <b>179,121</b> | Yield (%)                     | 1%   | 2%    | 4%    | 6%    |
| L/T debt                          | 57,589         | 56,589         | 55,589         | 54,589         | Net Debt/Equity (%)           | 26%  | -2%   | -21%  | -34%  |
| Other LT liabilities              | 23,124         | 31,794         | 43,751         | 53,346         | Liabilities/Equity (%)        | 125% | 110%  | 102%  | 91%   |
| <b>Total Liabilities</b>          | <b>216,793</b> | <b>239,565</b> | <b>267,144</b> | <b>287,056</b> | Liabilities/Assets (%)        | 55%  | 52%   | 50%   | 48%   |
| Common shares                     | 5,182          | 20,519         | 20,519         | 20,519         | ROAE (%)                      | 14%  | 21%   | 29%   | 33%   |
| Retained Earnings                 | 104,669        | 133,272        | 177,934        | 231,199        | ROAA (%)                      | 6%   | 10%   | 14%   | 17%   |
| Other SH' Equity                  | 64,145         | 64,145         | 64,145         | 64,145         | AR/NR Turnover (days)         | 68   | 62    | 59    | 63    |
| <b>Total Shareholders' Equity</b> | <b>173,997</b> | <b>217,937</b> | <b>262,598</b> | <b>315,863</b> | Inventory Turnover (days)     | 128  | 121   | 122   | 125   |
| <b>Total Liab./SH's Equity</b>    | <b>390,789</b> | <b>457,502</b> | <b>529,743</b> | <b>602,919</b> | AP/NP Turnover (days)         | 71   | 69    | 70    | 73    |
|                                   |                |                |                |                | Cash conversion cycle         | 125  | 114   | 111   | 115   |

Source: Company data, Morgan Stanley Research (E) estimates.

# Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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(as of June 30, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1544              | 42%        | 453                              | 49%            | 29%                  | 757                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 544               | 15%        | 89                               | 10%            | 16%                  | 204                                               | 12%                   |
| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

## Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

## Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Yageo Corp. (2327.TW) - As of 07/29/26 GMT in TWD  
Industry : Greater China Technology Hardware



Stock Rating History: 7/1/21 : E/I; 1/4/22 : O/I; 2/5/25 : NA/I; 10/28/25 : O/I

Price Target History: 6/7/21 : 169.61; 7/7/21 : 172.76; 7/27/21 : 182.18; 10/19/21 : 141.35; 1/4/22 : 188.46; 6/23/22 : 155.48; 8/12/22 : 144.49; 10/28/22 : 116.25; 11/10/22 : 123.75; 1/9/23 : 157.5; 4/12/23 : 158.75; 7/17/23 : 152.5; 7/26/23 : 151.25; 10/18/23 : 150; 11/23/23 : 160; 1/9/24 : 153.75; 3/1/24 : 146.25; 4/11/24 : 177.5; 7/23/24 : 178; 7/30/24 : 181.25; 8/15/24 : 151.75; 9/12/24 : 196.25; 10/21/24 : 193.75; 10/29/24 : 188.75; 2/5/25 : NA; 10/28/25 : 290; 10/31/25 : 293; 2/23/26 : 305; 2/26/26 : 325; 4/9/26 : 330; 4/15/26 : 360; 6/2/26 : 1010; 6/13/26 : 1355; 6/22/26 : 1515; 7/22/26 : 1465

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (07/29/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Andy Meng, CFA</b>                                |                |                     |
| AAC Technologies Holdings (2018.HK)                  | O (01/29/2024) | HK\$39.24           |
| Accelink Technologies Co. Ltd. (002281.SZ)           | U (05/12/2022) | Rmb169.26           |
| BYD Electronics (0285.HK)                            | O (04/28/2023) | HK\$24.60           |
| China TransInfo Technology Co Ltd (002373.SZ)        | E (07/18/2023) | Rmb7.65             |
| Dahua Technology Co. Ltd. (002236.SZ)                | E (12/12/2024) | Rmb16.42            |
| Eoptolink Technology Inc Ltd (300502.SZ)             | O (02/27/2026) | Rmb421.20           |
| Genius Electronic Optical Co. Ltd. (3406.TW)         | E (04/23/2025) | NT\$466.50          |
| GoerTek Inc (002241.SZ)                              | U (04/23/2025) | Rmb23.69            |
| Gosuncn Technology Group Co Ltd (300098.SZ)          | U (11/07/2022) | Rmb4.56             |
| HIKVision Digital Technology (002415.SZ)             | E (12/12/2024) | Rmb35.74            |
| Largan Precision (3008.TW)                           | O (07/10/2026) | NT\$3,850.00        |
| LianChuang Electronic Technology Co Ltd (002036.SZ)  | U (06/12/2024) | Rmb7.23             |
| Lingyi Itech Guangdong Co (002600.SZ)                | U (04/23/2025) | Rmb12.23            |
| Luxshare Precision Industry Co., Ltd. (002475.SZ)    | O (10/24/2016) | Rmb62.35            |
| OFILM Group Co Ltd (002456.SZ)                       | U (06/12/2024) | Rmb7.05             |
| Q Technology (Group) Company Ltd (1478.HK)           | U (03/23/2026) | HK\$7.01            |
| Quectel Wireless Solutions Co Ltd (603236.SS)        | E (10/09/2024) | Rmb50.46            |
| Shanghai Conant Optical Co Ltd (2276.HK)             | O (04/10/2026) | HK\$29.48           |
| Shenzhen Transsion Holdings Co Ltd (688036.SS)       | E (03/23/2026) | Rmb65.69            |
| Sunny Optical (2382.HK)                              | E (03/23/2026) | HK\$61.20           |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb182.09           |
| Wingtech Technology Co Ltd (600745.SS)               | U (05/18/2026) | Rmb16.70            |
| Xiaomi Corp (1810.HK)                                | O (04/14/2021) | HK\$31.88           |
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)  | U (10/13/2021) | Rmb281.70           |



|                                                   |                |              |
|---------------------------------------------------|----------------|--------------|
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK) | O (07/15/2026) | HK\$102.80   |
| Yongxin Optics Co Ltd (603297.SS)                 | E (11/15/2022) | Rmb93.06     |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ)        | O (11/15/2022) | Rmb26.35     |
| Zhongji Innolight Co Ltd (300308.SZ)              | ++             | Rmb951.00    |
| ZTE Corporation (0763.HK)                         | O (06/04/2026) | HK\$25.08    |
| ZTE Corporation (000063.SZ)                       | E (06/04/2026) | Rmb34.08     |
| <b>Derrick Yang</b>                               |                |              |
| Accton Technology Corporation (2345.TW)           | O (06/06/2024) | NT\$1,910.00 |
| Advantech (2395.TW)                               | O (01/20/2021) | NT\$550.00   |
| AirTAC International (1590.TW)                    | O (04/16/2025) | NT\$1,325.00 |
| Asia Vital Components Co. Ltd. (3017.TW)          | O (07/30/2024) | NT\$2,095.00 |
| AU Optronics (2409.TW)                            | E (02/10/2026) | NT\$23.65    |
| Auras Technology Co Ltd (3324.TWO)                | E (05/04/2023) | NT\$855.00   |
| Bizlink (3665.TW)                                 | O (03/10/2025) | NT\$2,090.00 |
| BOE Technology (000725.SZ)                        | O (09/06/2019) | Rmb5.71      |
| Chenbro (8210.TW)                                 | O (07/23/2025) | NT\$981.00   |
| Chroma Ate Inc. (2360.TW)                         | O (10/05/2021) | NT\$1,835.00 |
| Delta Electronics Inc. (2308.TW)                  | O (07/13/2017) | NT\$1,495.00 |
| E Ink Holdings Inc. (8069.TWO)                    | O (05/11/2026) | NT\$179.00   |
| Ennostar Inc (3714.TW)                            | U (09/23/2022) | NT\$46.10    |
| Fositek Corp (6805.TW)                            | O (06/25/2025) | NT\$1,265.00 |
| Hiwin Technologies Corp. (2049.TW)                | O (03/30/2026) | NT\$290.50   |
| Innolux (3481.TW)                                 | E (04/07/2025) | NT\$41.80    |
| King Slide Works Co. Ltd. (2059.TW)               | O (11/08/2023) | NT\$7,145.00 |
| Lens Technology (300433.SZ)                       | E (07/22/2020) | Rmb33.39     |
| Lite-On Technology (2301.TW)                      | E (01/15/2025) | NT\$185.00   |
| TCL Corp. (000100.SZ)                             | E (04/07/2025) | Rmb4.93      |
| Tianma Microelectronics (000050.SZ)               | U (01/24/2018) | Rmb6.57      |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ)  | E (11/26/2021) | Rmb199.00    |
| <b>Howard Kao</b>                                 |                |              |
| Acer Inc. (2353.TW)                               | U (04/23/2025) | NT\$28.65    |
| Asustek Computer Inc. (2357.TW)                   | U (11/16/2025) | NT\$761.00   |
| Catcher Technology (2474.TW)                      | U (11/17/2025) | NT\$180.50   |
| Compal Electronics (2324.TW)                      | U (04/23/2025) | NT\$34.85    |
| FIT Hon Teng Ltd (6088.HK)                        | O (11/03/2025) | HK\$4.85     |
| Foxconn Industrial Internet Co. Ltd. (601138.SS)  | O (07/10/2019) | Rmb57.75     |
| Giga-Byte Technology Co. Ltd. (2376.TW)           | E (11/16/2025) | NT\$321.50   |
| Gold Circuit Electronics Ltd. (2368.TW)           | O (10/06/2022) | NT\$729.00   |
| Hon Hai Precision (2317.TW)                       | O (03/15/2024) | NT\$237.00   |
| Inspur Electronic Information (000977.SZ)         | E (08/28/2023) | Rmb74.94     |
| LandMark Optoelectronics Corporation (3081.TWO)   | E (03/26/2026) | NT\$1,540.00 |
| Lenovo (0992.HK)                                  | O (07/10/2026) | HK\$22.98    |
| Lotes Co. Ltd. (3533.TW)                          | E (05/12/2025) | NT\$1,725.00 |
| Nan Ya PCB (8046.TW)                              | O (02/23/2026) | NT\$879.00   |
| Pegatron Corporation (4938.TW)                    | E (03/25/2026) | NT\$82.00    |
| Quanta Computer Inc. (2382.TW)                    | O (05/01/2023) | NT\$309.50   |
| Shengyi Technology Co Ltd. (600183.SS)            | E (05/26/2022) | Rmb108.18    |
| Shennan Circuits Co Ltd (002916.SZ)               | E (08/24/2023) | Rmb316.01    |
| Unimicron (3037.TW)                               | O (02/23/2026) | NT\$688.00   |
| Visual Photonics Epitaxy Co Ltd (2455.TW)         | E (09/11/2023) | NT\$272.50   |
| Wistron Corporation (3231.TW)                     | O (07/12/2023) | NT\$169.50   |
| Wiwynn Corp (6669.TW)                             | O (11/10/2025) | NT\$5,135.00 |
| Yageo Corp. (2327.TW)                             | O (10/28/2025) | NT\$507.00   |
| Zhen Ding (4958.TW)                               | O (05/18/2026) | NT\$404.50   |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

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